Public Policy 2026-2027

Lecture 2: Key Institutions and Actors

Wednesday, October 20, 2026
Stockholm School of Economics in Riga

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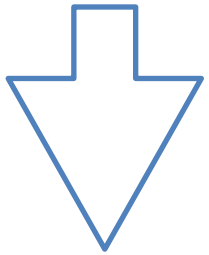
How We Will Study Public Policy?

Two Basic Ways to Study Public Policy

		Primary Audience	
		Client ("study *for* policy")	**Epistemic Community ("study *of* policy")**
Primary Focus	What	Policy analysis (narrowly defined)	Policy research / policy studies
	How	Stakeholder analysis	Policy process research

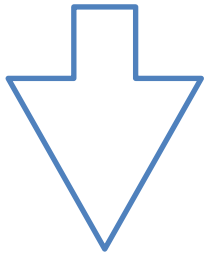
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Policy as a **profession**

Main job for the **policy advisor**



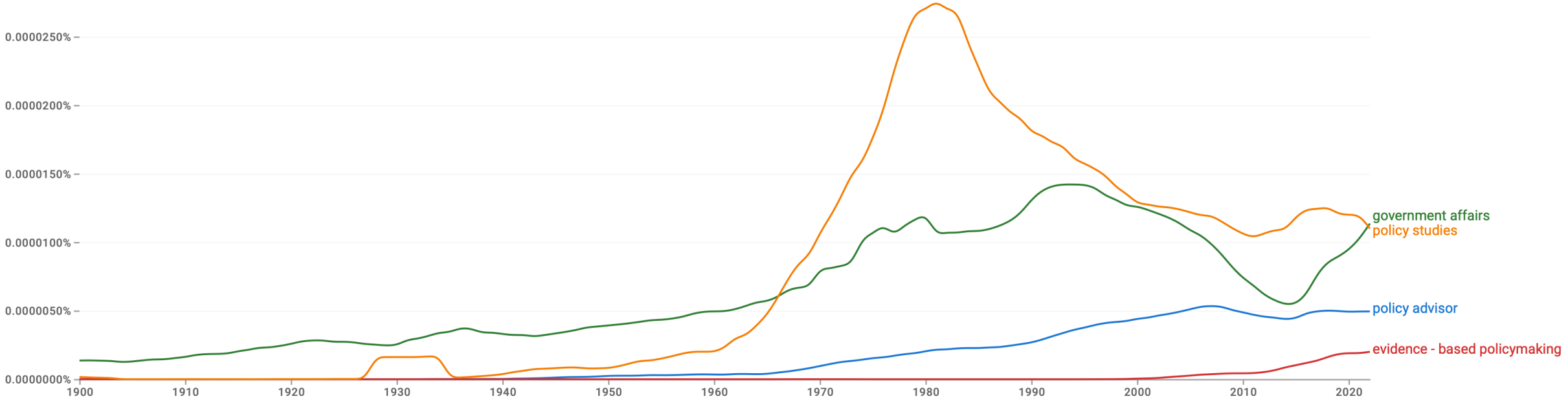
Policy as a **science**

Main job for the **academic**

Professionalisation of Policy as a Science

…and the birth of the policy advisor/ government relations specialist

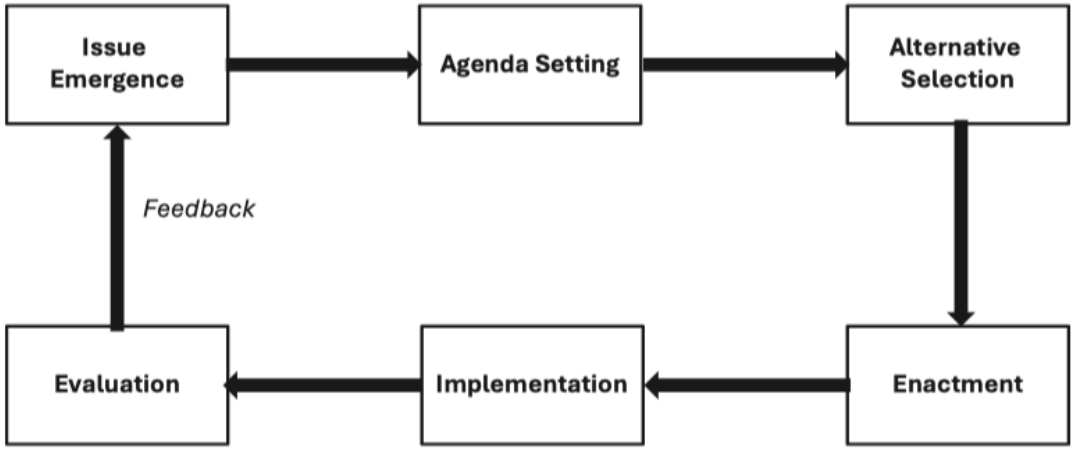
1. Harold Lasswell initiated the policy sciences of democracy in T*he Policy Sciences* (1951).
2. Post-WWII and Cold War: increasing concern with democratic accountability and the quality of government.
3. 1960s-1990s: proliferation of professional policy advisors across government departments and think tanks (“spin doctors”).
4. Since 2000s: increasing disappointment vis-à-vis ability of policy advisors to deal with complexity of large-scale social problems (e.g. war on poverty in the US, financial crisis of 2007/2008, Covid-19) and evidence-based policymaking.



Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

The Policy Cycle



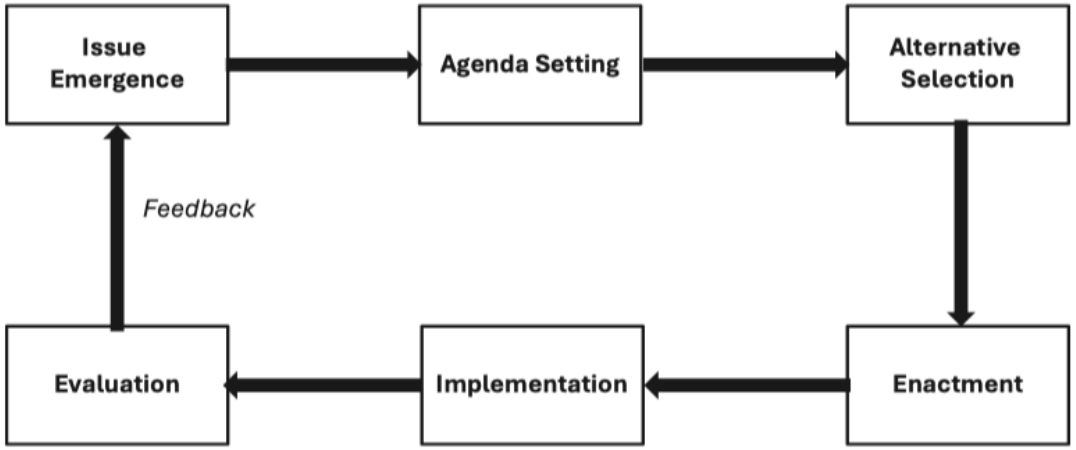
Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

When does a social problem become a policy problem?

- Short answer: when elites say it is so.
- Long answer: policy problems are born throughout the policy process: they compete with each other to become a policy concern and are sometimes created strategically, out of "thin air."

The Policy Cycle



Public Policy as Rational Problem-Solving

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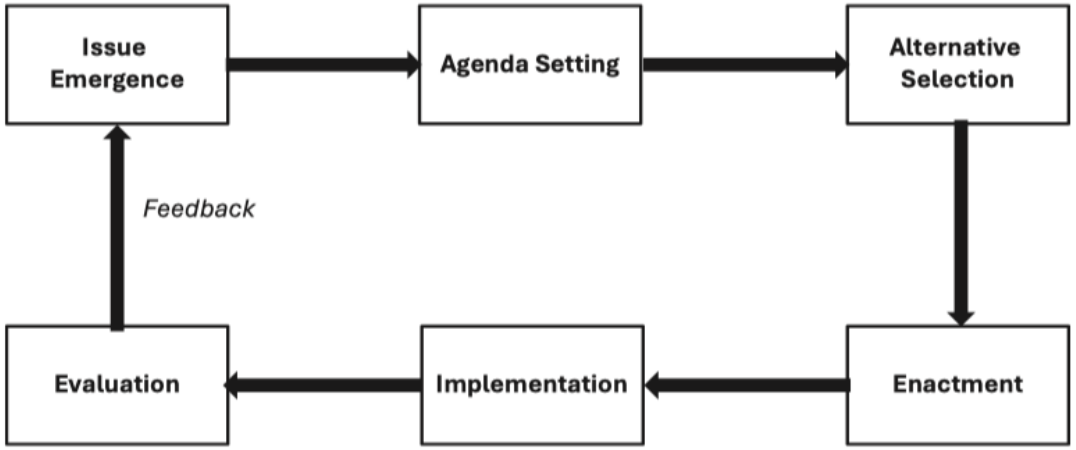
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When does a policy problem go away?

- Short answer: probably never, once "found," a policy problem tends to stick around.
- Long answer: policy problems tend to stick around because they often create their own constituencies and even if they are resolved they often create further problems (e.g. better health for the elderly causes a pension crisis), which again create constituencies and so on…

The Policy Cycle



Public Policy as Rational Problem-Solving

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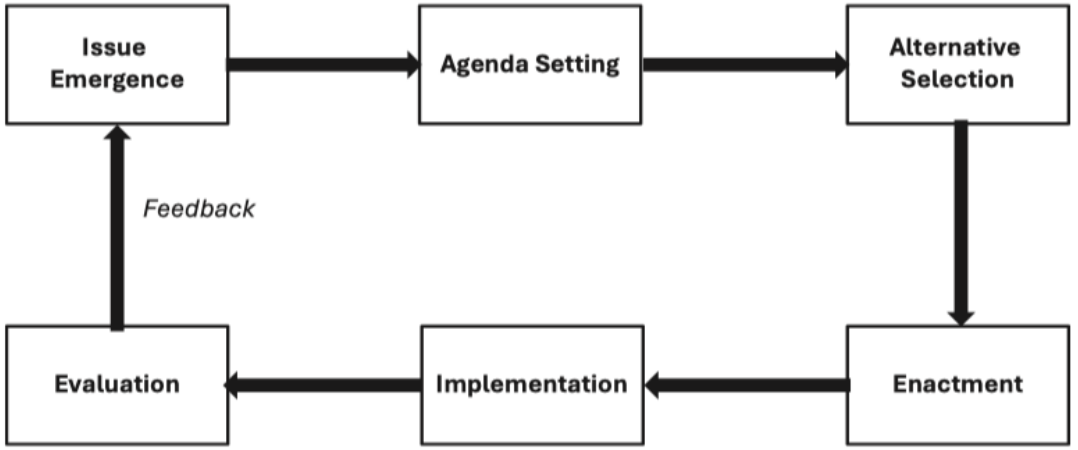
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The Policy Cycle



The rationalist approach prescribes an **ideal conception** of how policy-making should be organised and evolve in order to achieve optimal solutions to the underlying policy problems.

The Rationality Assumption Challenged

Bounded rationality? Or no rationality at all?



Trump's Truth Social response to the No Kings protests. 19.10.2025

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JOURNAL ARTICLE

The Science of "Muddling Through"

Charles E. Lindblom

Public Administration Review, Vol. 19, No. 2 (Spring, 1959), pp. 79-88 (10 pages)

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By CHARLES E. LINDBLOM

Associate Professor of Economics
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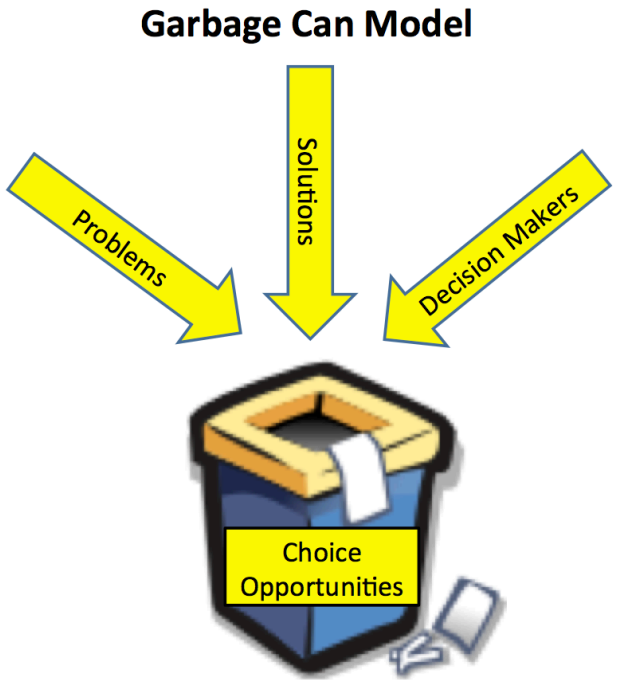
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Why Should We Care?

SSE's Educational Aims: The FREE Concept

(Since 2019)

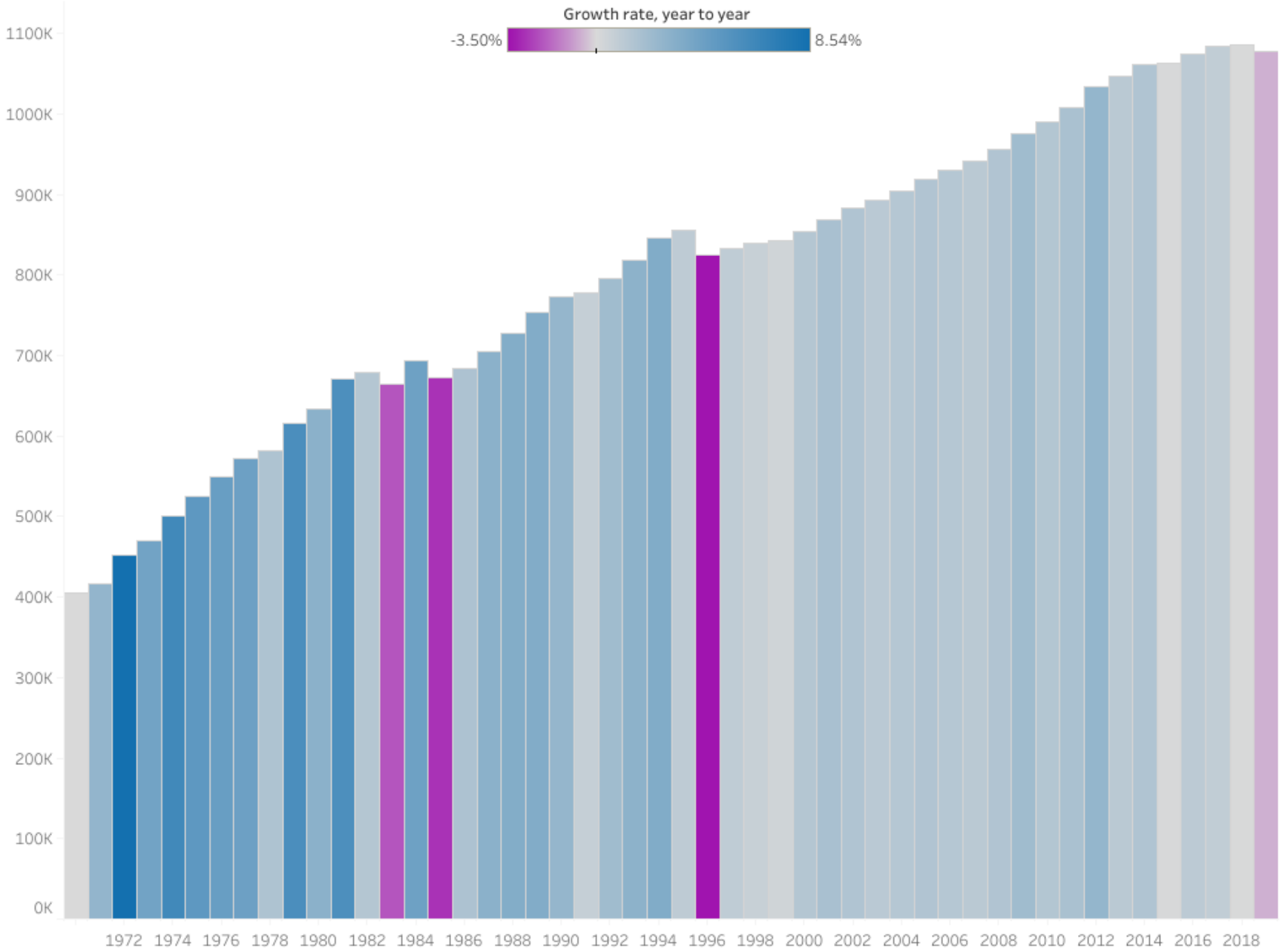
F Fact- & science-minded

R Reflective & self-aware

E Empathetic & culturally literate

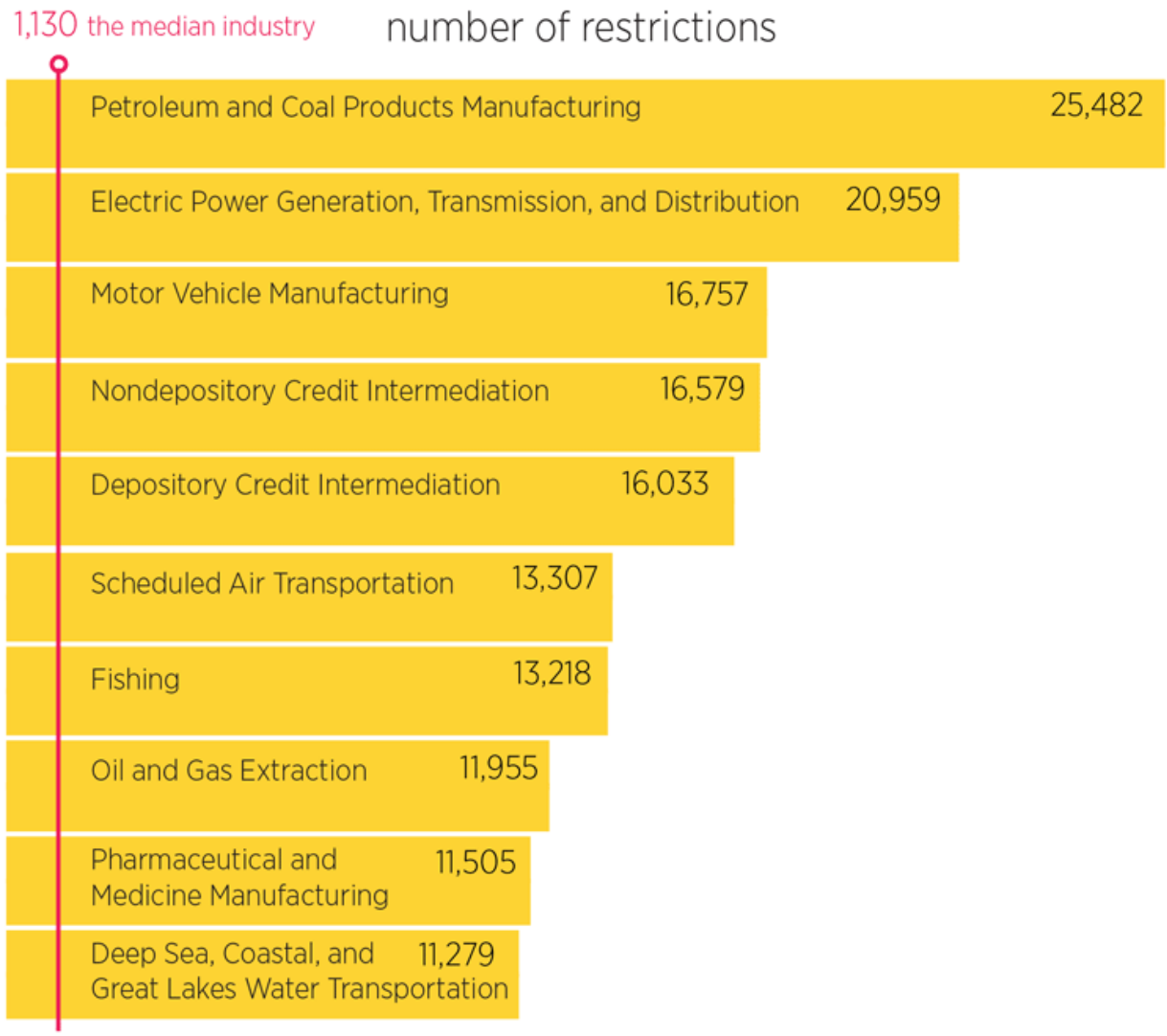
E Entrepreneurial & responsible

Growth of federal regulatory restrictions over time, 1970 - 2019



© QuantGov / RegData

The McLaughlin-Sherouse List: The 10 Most-Regulated Industries in 2014



MERCATUS CENTER
George Mason University

Source: RegData 2.2 from RegData.org.

Why Care About Public Policy?

1. Business, finance, markets, firms etc. do not operate in a vacuum — policy is everywhere, no escape!
2. Markets and governments are not separate worlds: firms respond to regulation, and regulation responds to firms. Effective leaders understand how the public sector thinks and decides — what happens "on the other side."
3. Public procurement, EU funds, subsidies and PPPs are large revenue sources. Knowing how public money is allocated matters.
4. To better understand how/why/when market solutions offer superior answers to economic issues you need to understand exactly how/when/why government interventions can go wrong.
5. Opening the black box of public policy-making allows to gain some realistic insights to counter unfounded assumptions/opinions about how a modern economy works.

If you don't do public policy, public policy "does" you!

Key Institutions and Actors

Relationship Between Institutions and Actors

Institutions:

"…consist of both informal constraints (sanctions, taboos, customs, traditions, and codes of conduct), and formal rules (constitutions, laws, property rights) that reduce uncertainty by establishing a stable (but not necessarily efficient) structure to human interaction."

—Douglas C. North. 1991. "Institutions." *Journal of Economic Perspectives* 5(1): 97-112.

Actors:

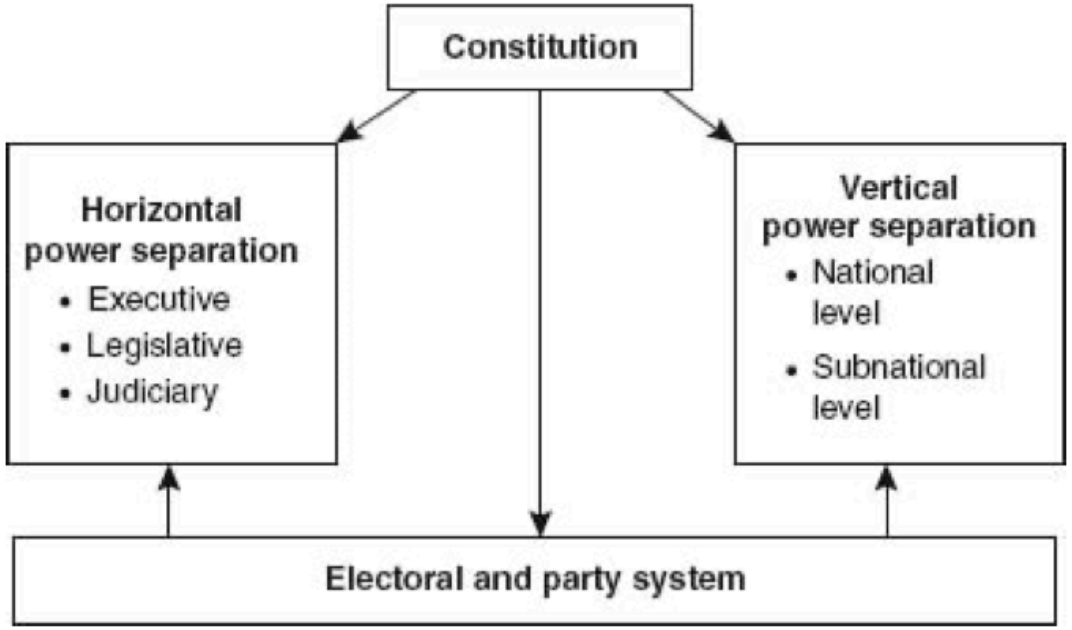
"…individuals, corporations, and other collective entities who possess policy preferences and the desire to realise them through their participation in the policy-making process."

—Fritz Scharpf. 1997. *Games Real Actors Play: Actor-Centered Institutionalism in Policy Research.* Westview Press.

The Constitution

Determines a state's polity ("models" of democracy)

- Expresses identity and founding values.
- *Lex* superior: sets the legal framework of the state.
- Defines the form of state and government.
- Establishes territorial organisation and the distribution of competencies (vertical power separation).
- Creates and constrains state organs (horizontal power separations).
- Sets the rules of access to power.
- Provides for its own protection.



© Knill & Tosun 2020, p.35

Horizontal Division of Power ("Checks and Balances")

The executive, the legislature, and the judiciary

The executive ('government', 'cabinet', 'commission', 'council')

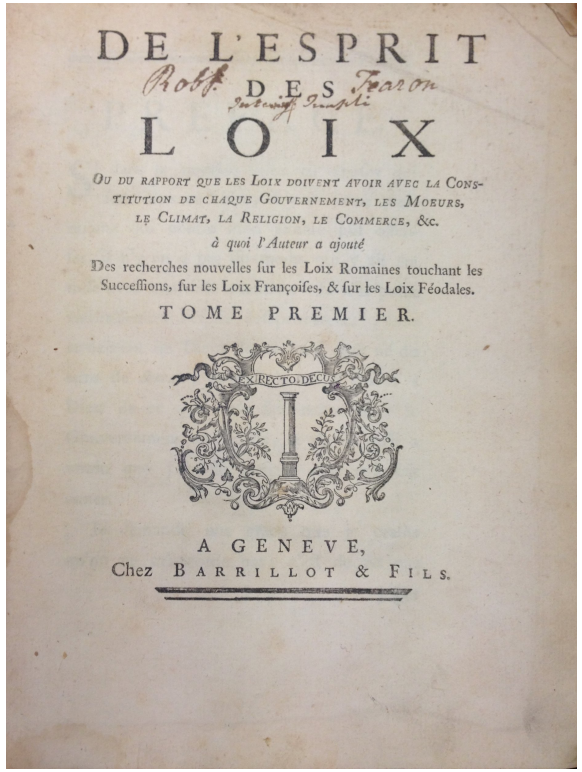
- In charge of managing the bureaucracy and implementing public policy.
- In practice: also in charge of suggesting and formulating policies.
- Executive power strongly varies across political systems.

The legislature ('parliament', 'congress', 'council', 'diet')

- In charge of making law (and ultimately legitimising public policy).
- Often play important role in the choice of head of government
- Bicameral ('lower' and 'upper house') and unicameral parliaments.

The judiciary

- Composed of a hierarchy of courts (supreme or constitutional court at the top).
- In charge of applying the law, solving disputes, and sometimes assessing the constitutionality of laws.
- Formally independent from the executive and legislative branch (but can affect policymaking through sentences, see current debate surrounding the US supreme court).


DE L'ESPRIT
DES
LOIX
Ou du rapport que les Loix doivent avoir avec la Constitution de chaque Gouvernement, les Moeurs, le Climat, la Religion, le Commerce, &c.
à quoi l'Auteur a ajouté
Des recherches nouvelles sur les Loix Romaines touchant les Successions, sur les Loix Françoises, & sur les Loix Féodales.
TOME PREMIER.
A GENEVE,
Chez BARRILLOT & FILS.

Charles de Montesquieu. 1748. *On the Spirit of Laws / De l'Esprit des Lois*

Executive-Legislative Relations

Presidential vs. parliamentary democracies

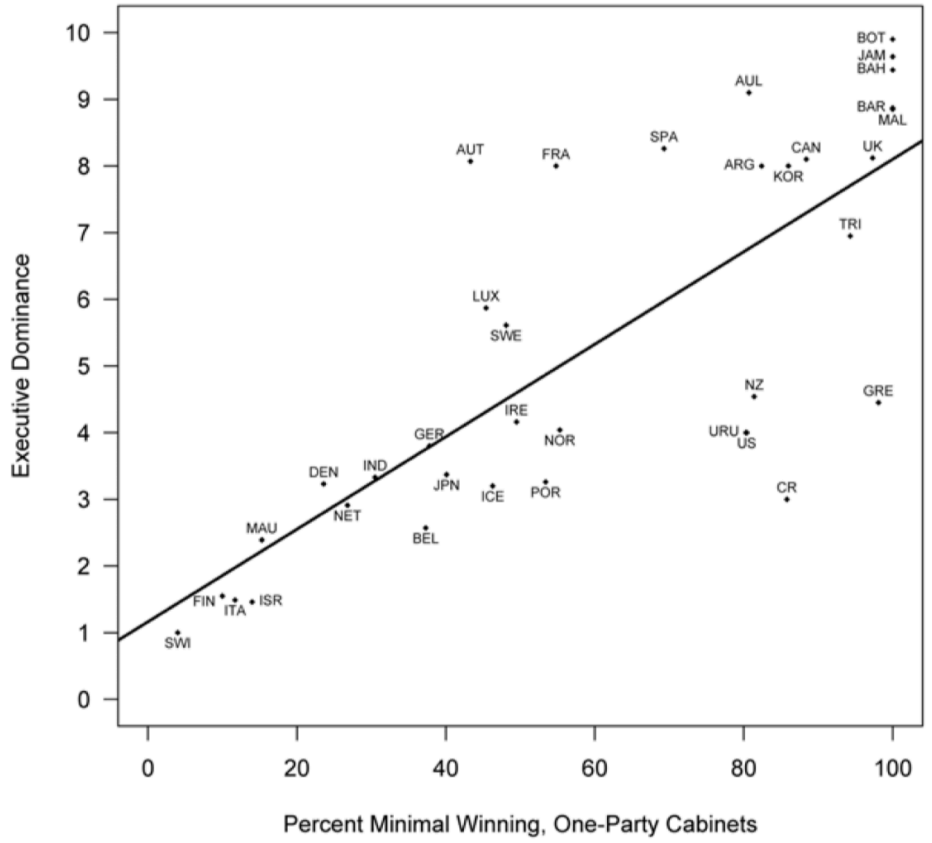
Core question: how does the executive come to power, and can the legislature remove it?

Dimension	Parliamentary system	Presidential system	Semi-presidential system
Origin of executive	Emerges from parliament	Popular vote	President: popular vote; PM/ cabinet backed by parliament
Executive tenure	Depends on parliamentary confidence; parliament can dismiss gvmt	Fixed term, no confidence vote (but there may be impeachment procedures)	President: fixed term; PM/ cabinet: needs parliamentary confidence
Executive structure	Collective (cabinet & PM), head of gvmt separate from head of state (president, monarch)	Unipersonal, president is both head of state & gvmt; ministers are subordinates	Dual executive (president & PM), head of gvmt separate from head of state
Dissolution of parliament	Usually possible	Not usually possible	Often possible
Typical tensions	Unstable coalitions, gvmt collapse	Gridlock between branches	Volatile executive; possibility of “cohabitation”
Examples	UK, Germany, Latvia, Estonia	USA, Mexico, Brazil, Indonesia	France, (Lithuania), Austria

Executive-Legislative Relations

Westminster vs. consensus democracies

Dimension	Westminster system	Consensus system
Concentration of executive power	High concentration in one-party cabinets	Power-sharing in broad coalition cabinets
Executive-legislative relations	Cabinet dominance	Balance of power

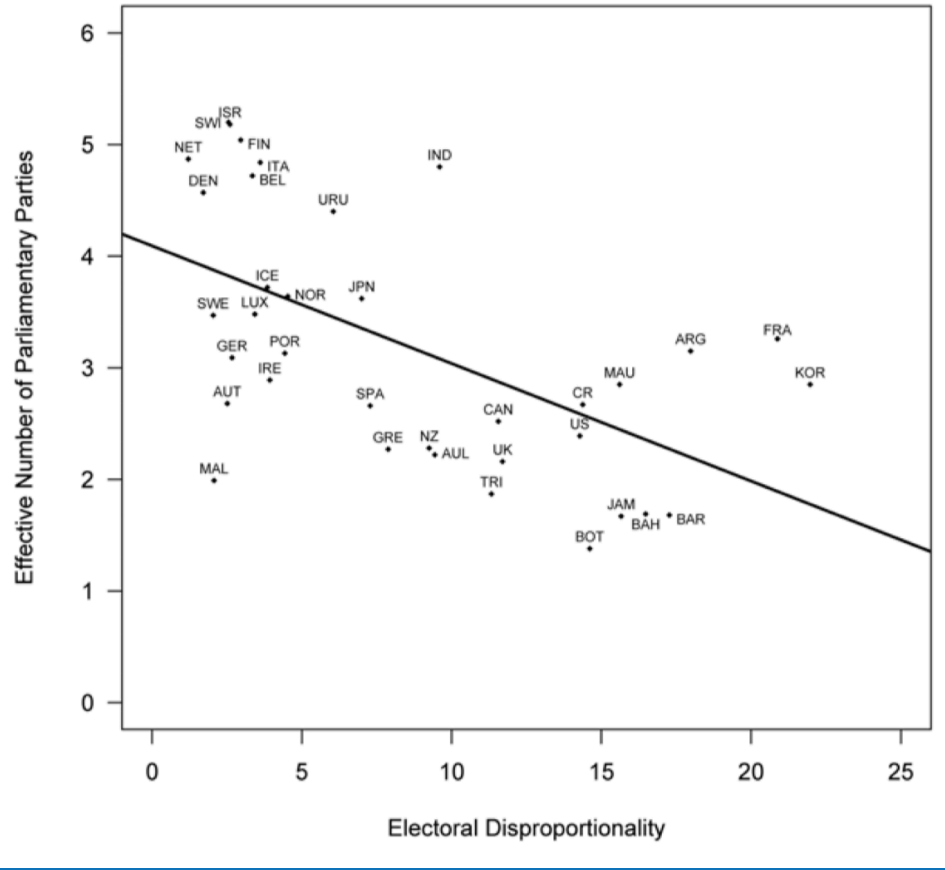


Lijphart 2012, 126.

Executive-Legislative Relations

Westminster vs. consensus democracies

Dimension	Westminster system	Consensus system
Party system	Two-party system	Multiparty system
Electoral system	Majoritarian/ disproportional system of elections	Proportional representation (PR)



Lijphart 2012, 156.

Executive-Legislative Relations

Westminster vs. consensus democracies

Core question: is power concentrated in a bare majority, or shared and dispersed?

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Executive-legislative relations	Cabinet dominance	Balance of power
Party system	Two-party system	Multiparty system
Electoral system	Majoritarian/ disproportional system of elections	Proportional representation (PR)
Status of interest groups	Interest group pluralism	Interest group corporatism
Vertical separation of power	Unitary and centralised government	Federal and decentralised government
Concentration of legislative power	High (unicameral legislature, except UK!)	Low (strong bicameralism)
Status of Constitution	Constitutional flexibility	Constitutional rigidity
Control of constitutionality	No judicial review	Judicial review (with exceptions like CH)
Status of Central Bank	Low central bank independence	Central bank independence

Remember: Polity Shapes Policy

So: executives in consensus democracies tend to be weaker and more short-lived. Does this mean they are less effective at policymaking?

Arend Lijphart's (2012) conclusion: consensus democracies have a better track record than Westminster democracies in:

- Overall policy effectiveness.
- Governance quality.
- Democratic representation.
- "Kindness" and "gentleness" of their policy orientations.

See the debate on "policy styles." It is generally accepted that in consensus democracies the policy process is more inclusive, slower, but not less stable than in Westminster democracies.

The Executive as a Policy Actor

- Head of the government (prime minister, chancellor, etc.) and (cabinet) ministers.
- Two rival principles governing the executive role of cabinet ministers:
  - Principle of collective responsibility.
  - Principle of ministerial autonomy.
- Cabinets need to be either:
  - supported (‘minimal winning’ or ‘oversized coalition’), or
  - tolerated (minority government) by a parliamentary majority.
- The latter condition is less important in presidential systems.


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NEWS › DEFENSE

German conscription plan stalls after defense minister’s objections

Defense Minister Boris Pistorius intervened to halt a coalition deal that would have reintroduced limited military service by lottery.

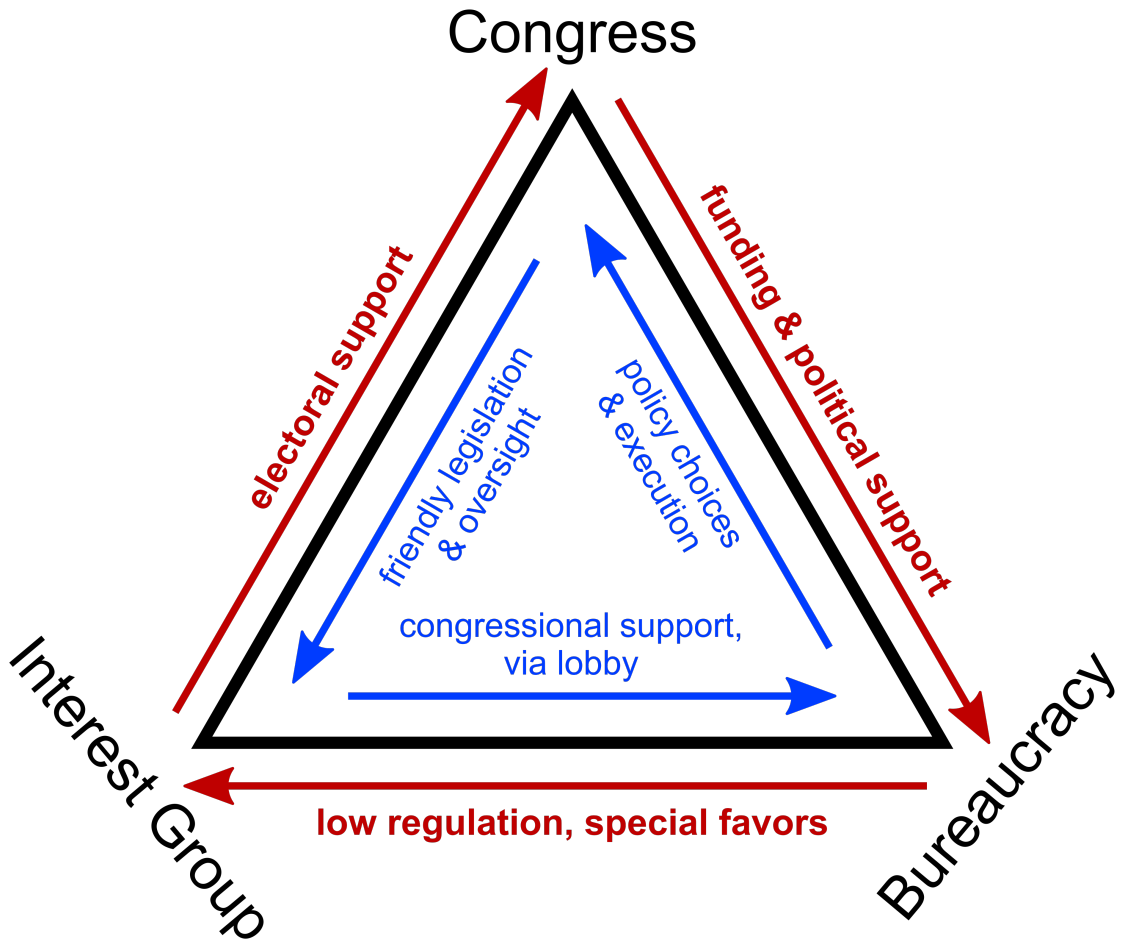
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The Executive as a Policy Actor

'Iron triangles'

- The executive is crucial for the stage of policy formulation (especially in parliamentary systems).
- But it needs the support from the ministerial bureaucracies!
- Hence: the appeal for private sector interests to form tight networks with both politicians and officials from the ministries (policy communities, 'iron triangles', issue networks).
- Its managerial oversight over the bureaucracy gives the executive an enormous discretionary power over all stages of the policy process!



The Bureaucracy

The Bureaucracy as a Policy Actor

- ‘Civil service’, ‘public sector’, ‘(public) administration’.
- Classical role: implementing (‘executing’) public policies. The “engine room.”
- But bureaucracies also contribute to the agenda-setting and policy formulation stages. Hence:
  - Implementing (‘street-level’) bureaucracy.
  - Ministerial bureaucracy.

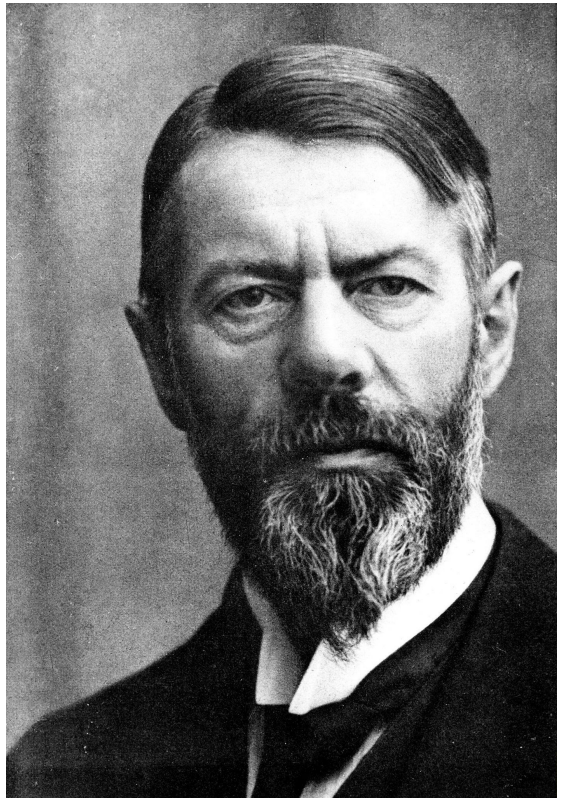
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- But bureaucracies also contribute to the agenda-setting and policy formulation stages. Hence:
  - Implementing ('street-level') bureaucracy.
  - Ministerial bureaucracy.
- Historically has enjoyed "embedded autonomy" from the rest of the society:
  - Impartiality of bureaucrats through independence from (too many) political & economic pressures.
  - Insulation, but not complete divorce.
  - Hired by appointment, merit-based recruitment, or secondment.

Weber's Ideal Type of Rational Bureaucracy

What are the criteria for the effectiveness of the bureaucracy?

- One of the key markers of a modern capitalist state
- Three types of legitimate rule:
  1. "Legal-rational" legitimacy.
  2. "Traditional" legitimacy.
  3. "Charismatic" legitimacy.
- The modern state bureaucracy is the "purest" realisation of legal-rational legitimacy!
- So what are the key organisational principles of a legal-rational bureaucracy?



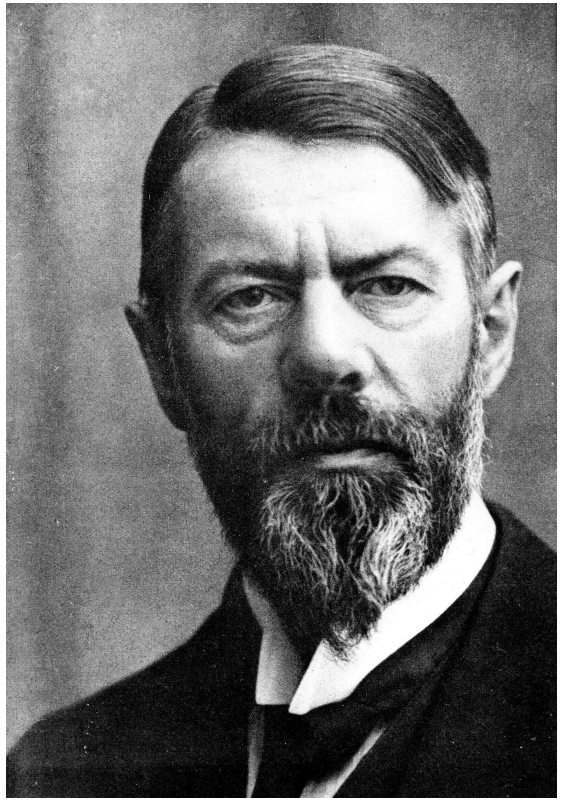
Max Weber (1864-1920)

Weber's Ideal Type of Rational Bureaucracy

Ten key organisational characteristics in *Economy and Society* (1922)

Administrative staff members:

1. are personally free and observe only substantive official obligations,
2. are placed in a fixed official hierarchy,
3. have defined official competences,
4. are appointed by contract, on the basis of free selection, and
5. possess a specialised qualification and are appointed rather than elected,
6. are remunerated in money by fixed salaries, for the most part with a right to a pension; that payment should be appropriate to social rank,
7. treat the official appointment as their sole or principal occupation,
8. see themselves as having a career, being promoted according to age or performance, or both, depending on their superiors' judgement,
9. work in complete "separation from administrative means" and without any personal right to the post occupied,
10. are subordinate to rigorous and uniform official discipline and supervision.



Max Weber (1864-1920)

Theories of Bureaucratic Policymaking

Two big questions:

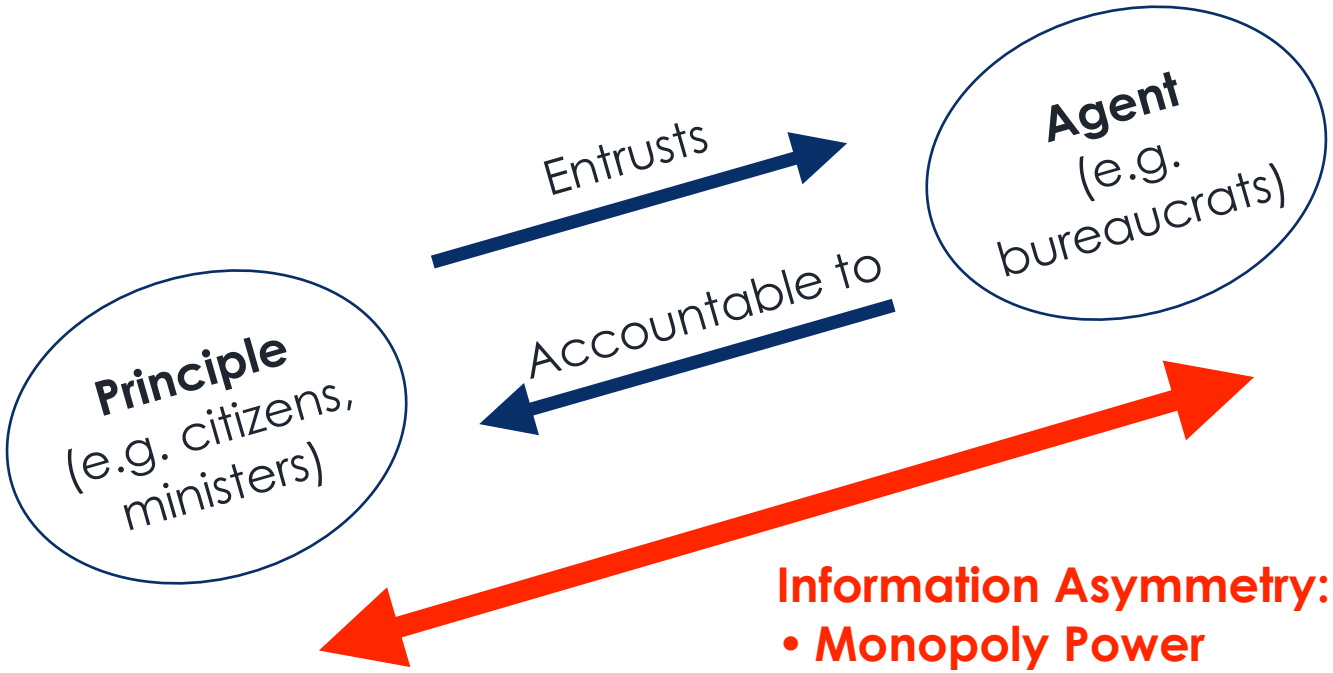
- How do bureaucracies implement decisions?
- How to enable government ministers to ensure that policy outcomes conform to the original policy objectives?

Three rival hypotheses:

- Ministerial bureaucracies are rational actors, neatly transforming policy objectives into outcomes.
- Bureaucracies rely on "standard operating procedures" (SOPs).
- Bureaucracies are sites of "bureaucratic politics," involving asymmetries between principles (ministers) and agents (bureaucrats).

Bureaucratic Politics

Principle-agent problems between executives and bureaucrats



Information Asymmetry:

- **Monopoly Power**
- **Discretion/ Opportunities for collusion**
- **Easy to shirk accountability**

Bureaucratic Politics

How to reduce principle-agent problems in the public sector

Given the ever-increasing size and level of (Weberian) professionalisation of state bureaucracies, principle-agent problems damage:

1. Democratic legitimacy
2. Policy innovation

How can this be fixed?

- Principle-agent theory as an impulse for new managerial principles in the government-bureaucracy relationship:
  - Serious economic crises in the 1970s and 1980s.
  - Thatcher's and Reagan's neoliberal economic policies
  - Collapse of the USSR.
- **"New Public Management"** as a new paradigm for the public sector.

New Public Management

- Incentives, Competition, and measurable performance instead of Weberian rule-based administration.
- A renewed emphasis of market-inspired instruments in public policy:
  - Contracting-out (e.g. of public provision).
  - Privatisation (e.g. sale of public utilities, break-up of state monopolies, public-private partnerships).
  - Quasi-markets (e.g. competition between different units of the public sector).
  - Reform of civil service (e.g. emphasis on service delivery and quality feedback, fostering budget autonomy, separating policy-making and policy implementation functions).
- A source of many new troubles, ranging from corruption risks to an actual need of more regulation, rather than less.

Thank You